Granules India Ltd

Concall Tracker, Q2 2027 · NSE: GRANULES · BSE: 532482 · written 6 Nov 2026 · builds on our Q1-2027 report · source: company concall transcripts via Screener.in

Plain-word key. API: the active drug powder. Finished dosages (FD): ready-to-sell tablets and capsules. Complex generics: copies of drugs that are hard to make, so fewer rivals. Controlled substances: tightly regulated drugs like ADHD medicines. Peptide CDMO: a factory-for-hire making peptide drugs, here the Swiss Senn business. Warning letter: a formal US FDA penalty that blocks new approvals from a plant. Form 483: the list of problems FDA inspectors hand over at the end of an inspection. First-to-file: the first generic maker to apply, which can win six months with little or no competition. EBITDA: operating profit before interest, tax and depreciation.

1. Snapshot

Granules is a Hyderabad drug maker that started out selling cheap bulk paracetamol and metformin powder and has spent years climbing into finished tablets and harder-to-copy US generics. About three-quarters of sales come from the US.

Number	Value	What it means
Market value	₹21,811 cr	What the market says the company is worth today (share price ₹800).
Q2 FY27 sales	₹1,560 cr	Jul-Sep 2026, up 20% on last year and 6% on June. First time over ₹1,500 cr in a quarter, and the eighth straight quarter of growth over the one before.
Q2 FY27 EBITDA	₹338 cr	Up 21%. Margin 21.6%, down from 22.9% in June because war-driven raw-material and freight costs went up.
Q2 FY27 profit after tax	₹182 cr	Up 39% on last year.
Gross margin	64.4%	What's left after raw materials. Down about a point on June, but still far above the ~50% of a few years ago.
Net cash	₹828 cr	Was ₹101 cr net debt in June. Warrant money came in. Plenty of room for the planned spending.
Cash from operations	₹65 cr	Weak, against ₹387 cr in June. They built safety stock in the US. Worth watching.
Price-to-earnings	about 56	Screener's figure. You pay about ₹56 for each ₹1 of yearly profit. Not cheap.

Quarter figures from management on the Q2 FY27 call (consolidated, converted from millions). Market value and P/E from Screener.in (standalone basis).

2. Which calls were read

Quarter	Call date	How it was used
Q1 FY24 to Q4 FY26 (12 calls)	Aug 2023 to Apr 2026	Carried forward from our earlier reports
Q1 FY27 + investor webinar	21 Jul and 29 Sep 2026	The prior report's last calls (its coverage boundary)
Q2 FY27	2 Nov 2026	Newly read in full ★

Only the Q2 FY27 call was read in full this time. The backstory comes from the earlier reports.

★ Latest concall highlights: Q2 FY27 (2 Nov 2026)

- **The FDA finally came, and left 11 observations.** Inspectors spent two weeks at the Gagillapur plant (19-30 Oct), the first visit since the Feb 2025 warning letter. They issued a Form 483 with eleven points, none on data integrity or contamination, and none repeating the warning-letter issues. The chairman called the audit "stringent". It's not the clean pass that would have cleared the plant straight away.
- **Timing of the blocked launches is still a guess.** Response is due in 15 business days. After that, management says approvals usually follow 30-90 days after the FDA closes the file. Of the nine stuck products, two have been moved to the US plant.
- **Another solid quarter.** Sales up 20%, profit up 39%. North America grew on ADHD drugs, Europe kept growing. They now say they're the #3 US player in controlled substances.
- **Five US launches in the next two quarters,** two of them controlled substances. There were none in the first half. First-to-file wins are 2.5 to 3 years away.
- **Peptide target softened.** Senn's first-half sales were ₹109 cr with an operating loss of about ₹28 cr. The full-year goal moved from "profitable" to somewhere between break-even at operating level and break-even after tax, "hopeful" of getting close.

Business mix & capacity. Overwhelmingly export: the US is about three-quarters of sales, Europe most of the rest, India a small slice. Plain read: FDA and US pricing news move this stock. Gagillapur runs at about 75%. The new Genome Valley plant is at roughly 25% and should cross 50% by the March quarter. About ₹2,000 cr of spending is planned over three to four years for peptides, the US plant, oncology and API capacity.

★ Since our last report

Builds on the Q1-2027 report (calls of 21 Jul and 29 Sep 2026). Prior verdicts: trigger YES, management MAYBE.

Prior read	What we said then	What the new call shows	Movement
Trigger: YES	Value-chain climb showing in sales	Another 20% quarter. Complex share dipped to 47% from 50%, but still around target	Confirmed
Management: MAYBE	Core delivers, timelines slip	Same again. FDA came but not cleanly; peptide target softened	On-track
FDA clearance at Gagillapur	Inspection "anytime now"	Done. 11 observations. Clearance depends on the response	Moved, not closed
Peptide arm profitable in FY27	Back to a loss in Q1	Still loss-making in H1; goal now break-even-ish	Slipping
Genome Valley ramp	Cut to "more than 50%" by March	Held at that target; about 25% today	On-track (lower bar)
Margins under cost pressure	22-23% expected	21.6%. Costs up, pass-through lags	Slipping a little
Balance sheet	Net cash by September	₹828 cr net cash	Delivered

Verdict change: both unchanged. The business keeps doing its job. The FDA event happened, which is progress, but the 483 means the clean-up isn't over.

★ 3. The earnings trigger

The driver hasn't changed: sell fewer cheap powders and more hard-to-make finished tablets in the US, especially ADHD drugs and other complex generics. It's still working, with eight straight quarters of growth and margins well above where they were. The next leg depends on launches. Five are lined up for the next six months, the blocked Gagillapur products follow once the FDA is satisfied, and first-to-file wins come later. Rising input costs are the near-term drag.

Driver	What management said	Evidence so far	Horizon	Strength	Change since last report
Shift to complex finished dosages	Above 50% of formulations in the medium term	47% in Q2 (50% in Q1); complex sales +38%	Now	Strong	unchanged (quarter wobble)
US ADHD / controlled drugs	#3 in the US; two new controlled launches in H2	Main growth engine for North America	Now	Strong	↑ launches named
FDA clearance at Gagillapur	Observations "addressable"; approvals 30-90 days after closure	Inspected; 11-point 483	3-6 months	Moderate	↑ event happened, outcome open
Peptide CDMO (Senn)	Near break-even for FY27; record enquiries; Vizag plant going ahead	H1 loss about ₹28 cr	FY27-FY30	Weak to moderate	↓ target softened
First-to-file and new markets	First FTF launch in 2.5-3 years; 8 overseas filings in six months	Three sole FTF filings so far	FY29+	Unproven	unchanged

4. Management consistency scorecard

Period	What was promised	What actually happened	Verdict
FY24 onward (backstory)	More finished dosages, higher margins	Done, and again in Q2 FY27	Delivered
Aug 2024 onward	Quick FDA resolution at Gagillapur	Re-inspected Oct 2026 after two years; 11 new observations	Partly
Q1 FY27 (Jul 26)	Growth "will continue"	Sales +20%, eighth straight sequential rise	Delivered
Q1 FY27 (Jul 26)	Peptide arm profitable for FY27	H1 loss; goal now break-even range	Slipping
Q1 FY27 (Jul 26)	Genome Valley above 50% by March	About 25% now; target held	Too-early
Q1 FY27 (Jul 26)	Margins around 22-23%	21.6% on war costs	Partly
Sep 2026 webinar	Net cash by September	₹828 cr net cash	Delivered

Narrative drift. The core story is the same climb-the-value-chain plan they've told for years, and it keeps showing up in sales. The pattern on the side bets hasn't changed either: dates and targets slide a bit every quarter. This time it's the peptide goal, plus an FDA outcome that's better than a fail but not the clean exit they hinted at. They still won't give growth guidance. Asked three different ways, the chairman's answer was the same: "our growth will continue".

5. Bottom line

Durable earning trigger? → YES vs last quarter: unchanged

Another quarter of 20% growth with profit growing faster. The complex-generics shift is working in plain sight and five launches are coming. The FDA visit is a step forward. The risks are a slow clean-up of the 483, raw-material costs that customers only partly pay back, and weak cash flow this quarter. None of that breaks the driver.

Management consistent? → MAYBE vs last quarter: unchanged

Same read. Honest about the 483 and specific about launches, and the core plan keeps landing. But the peptide target got softer again, margins dipped below the range they talked about, and the FDA timeline is still loose. Good on direction, loose on timing.

Sources: Granules India Q2 & H1 FY27 earnings-call transcript (2 Nov 2026, filed 6 Nov 2026) via Screener.in; our Q1-2027 and Q4-2026 Concall Tracker reports for the backstory; Screener.in for market value and P/E. Not investment advice.